

The Complete Financial Guide for Young Couples

I encourage you to save up to buy a car. However, if you're unable to do that initially, then negotiate for a loan where the interest is calculated on the unpaid balance (simple interest). That way, if you can pay it off early, you can save significantly on the interest. If you finance a car using "add-on" interest, you will end up paying most of the interest in the early payments and very little of the principal. If you decide later to accelerate the payments, you will save very little interest. The best way to know is to ask BEFORE you sign.

Of all the ways to buy a car, I believe using a home equity loan to do so is potentially the very worst. Not that the interest rate is the worst; in fact it will often be one of the lowest, initially. But many home equity loans will be amortized longer than the car will last. So the car wears out and the loan continues. This cycle is repeated several times until the resultant debt is overwhelming and the home is lost. Avoid this trap early by staying away from home equity loans. Just because a home equity loan's interest is deductible is not sufficient justification to risk your home.

The "average" American couple is going to spend over \$180,000 on cars, including interest, during their lifetimes. They will never be debt-free because they don't ever plan to be. Don't let this happen to you. Drive your cars until they're paid off. Then save for the next one.

CATEGORY 3: FOOD

This area of your budget consists of everything purchased at the grocery store, including food, shampoo, and paper products. For a family of four, this category should take approximately 16 percent of your net spendable income. This is only about \$260 a month for a couple making \$24,000 a year. So as with any other category of your budget, it will require careful planning.

Perhaps the best counsel that can be given in this area is to buy according to a predetermined list. It's called a menu. A quick look around in a grocery store in our country will tell you that there are a lot more items for sale than you can afford to